



Business Proposal

Business Plan & Technical Overview



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Contents

Executive Summary	1
1 Mission and Product Positioning	1
1.1 Industry Context	1
1.2 Mission	1
1.3 Product Definition	2
1.4 Product Direction	2
2 The Problem and Market Opportunity	2
2.1 The Gap Before Bookkeeping	2
2.2 Where Existing Workflows Lose Time	2
2.3 Effect on Accounting Firms	3
2.4 Why the Workflow Is Now Feasible	3
3 Existing Solutions and Folio's Position	3
3.1 Current Tool Categories	3
3.2 Entry Point	4
3.3 Market Position	4
4 Product and Core Advantages	4
4.1 Product Overview	4
4.2 Core Product Advantages	5
4.3 Product Functions	6
4.4 Twelve Accounting Scenario Families	8
4.5 Combining Scenarios	9
4.6 Example One Platform Settlement and Fees	10
4.7 Example Two Wrong Period and Historical Search	10
4.8 Example Three Employee Reimbursement	12
4.9 Example Four Progress Billing and Retention	13
4.10 Value to Users	13
5 Target Market and Customer Strategy	13
5.1 Market Segments	13
5.2 Initial Customer Profile	13
5.3 Buyer Users and Beneficiaries	14

5.4	Positioning and Expansion Order	14
6	Business Model and Go to Market	14
6.1	Subscription Model	14
6.2	Product in the Marketing Mix	15
6.3	Price Place and Promotion	15
6.4	Pilot Measures	15
6.5	Entry and Implementation	16
7	Competitive Advantage and Defensibility	16
7.1	Competitive Environment	16
7.2	Accounting Knowledge Layer	16
7.3	Purpose-Built Data	16
7.4	Specialist Model and Adaptable AI Layer	17
7.5	Workflow and Trust	17
7.6	SWOT and Risk Response	17
8	Technical System and Engineering	18
8.1	System Architecture	18
8.2	Intelligent Review Pipeline	18
8.3	Deployment and Operations	19
9	Data Evaluation and Security	19
9.1	Accounting Evaluation Dataset	19
9.2	Evaluation Framework	20
9.3	File and Data Controls	20
10	Product and Market Roadmap	20
10.1	Stage One Client Evidence Collection	21
10.2	Stage Two Internal Finance Collaboration	21
10.3	Stage Three Further Pre-Bookkeeping Workflows	21
10.4	Geographic Expansion	21
11	Execution and Milestones	21
11.1	Design Partner Trials	21
11.2	Product and Technical Milestones	22
11.3	Commercial Milestones	22
11.4	Inputs for a Later Investor Edition	22

12 Conclusion	22
A Evidence and Claim Status	23
A.1 Implemented	23
A.2 Demonstrated	23
A.3 To Be Measured	23
B Technical and Product Sources	23
C Pilot Measures	23

Executive Summary

Folio is an AI-assisted financial evidence preparation platform for accounting firms and their business clients. It brings requests, submissions, document understanding, evidence review, follow-up, and accountant sign-off into one shared workflow. An accountant can issue a period-specific request and monitor every client's progress from one workspace. A business client can see precisely what is required, upload documents, respond to an identified gap, and follow the same request through to completion. The product addresses the work that occurs after a file is uploaded but before the accountant can use it for bookkeeping.

That interval matters. A submitted invoice may belong to the wrong month or legal entity; a bank deposit may differ from reported sales because a platform deducted fees; a payment may relate to an earlier invoice or several invoices. Folio reads PDFs, scans, and images; compares extracted details with the request and client profile; looks for relevant evidence already held by the firm; and asks the client for a specific missing item when the available record remains insufficient. Each new submission is reviewed in the context of the previous rounds. The accountant retains control over exceptions and final approval of the overall request.

The product is built around twelve accounting scenario families. They span document validity, relationships among invoices and payments, and more complex mechanisms such as platform settlements, reimbursements, loan repayments, foreign-currency transactions, and construction retention. The scenario framework gives the Agent a basis for combining evidence and deciding what to search or ask next. Folio-Reasoner-8B is the selected specialist for accounting reasoning, with a model-service boundary that can accommodate other compatible engines. On the team's fixed, synthetic FolioBench-120 suite, the specialist answered 79 of 120 cases correctly (65.8%); this is a model-level result, not a customer or end-to-end production success rate. A working firm-side and client-side web product and a stateful review flow provide a foundation for real-world trials. The next commercial step is to test the product with small and mid-sized Singapore accounting firms, measuring follow-up rounds, time to usable evidence, review effort, erroneous returns, adoption, and willingness to pay. The proposed subscription plans remain subject to those trials.

1 Mission and Product Positioning

1.1 Industry Context

Financial records are increasingly digital, yet the preparation work before bookkeeping remains manual. Firms repeatedly request invoices, receipts, bank statements, platform reports, and supporting documents from many business clients. Staff then check whether each file belongs to the right entity and period, whether the set is complete, and whether amounts across documents make sense together. Files and explanations often arrive through different channels over several days, so each additional client adds more coordination as well as more accounting work.

These checks require care, but much of the time goes into repeated reading, searching, and follow-up. When a client sends incomplete or unsuitable records, bookkeeping, tax preparation, and reporting move later. For firm owners, the effect reaches beyond an individual task: it shapes team capacity, service consistency, client experience, and the cost of delivery.

1.2 Mission

Folio aims to take on repetitive document reading, initial validation, evidence search, and follow-up coordination so accountants can spend more time on exceptions, quality control, and client advice. The product keeps the accountant responsible for professional judgments. It makes the supporting work more

structured and records each submission, system finding, client response, and human decision in the request history.

1.3 Product Definition

Folio operates between client submission and bookkeeping. It turns a document request into a continuous process: describe the evidence needed, receive files, understand their contents, check them against the request, search related records, resolve gaps across multiple rounds, and obtain accountant confirmation. Its output is an evidence set whose status and remaining issues are clear enough for the firm to act on.

A file portal answers where a client should upload. OCR answers what text appears on a page. Folio also asks whether the file meets the current accounting request, whether other records explain an apparent discrepancy, and what action should follow. That combination defines the product's role alongside existing practice software rather than requiring a firm to replace its whole stack.

1.4 Product Direction

Client document collection and bookkeeping preparation are the first focus because the work is frequent, repetitive, shared between a firm and its clients, and measurable. Once trials establish dependable results, the same client profile, document understanding, evidence search, request history, and human controls can support bank reconciliation preparation, accounts receivable and payable evidence, month-end close, and audit requests. Each expansion should begin with a defined evidence standard and responsibility boundary, followed by validation with real users.

2 The Problem and Market Opportunity

2.1 The Gap Before Bookkeeping

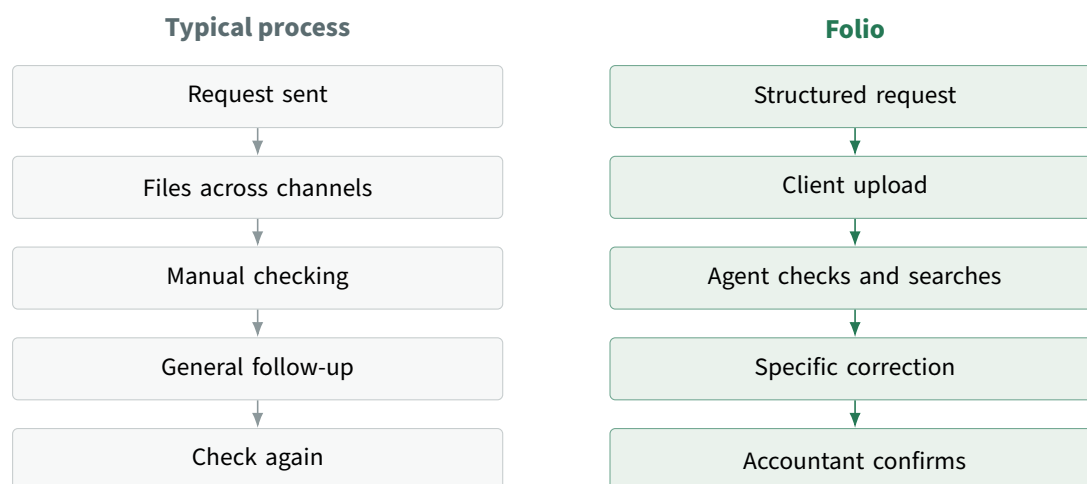
Receipt of a document is not the same as receipt of usable accounting evidence. A file needs the right type, entity, period, and essential content; it may also need to agree with a payment, settlement statement, contract, or other record. Many current workflows show only whether something was uploaded. The accountant must still determine whether the request is actually satisfied.

The gap becomes visible during month-end close, tax deadlines, and audit preparation. Staff need to distinguish evidence that is truly absent from an incorrect upload or a legitimate difference that other documents can explain. A portal can organize submissions while leaving those decisions and the ensuing client messages entirely manual.

2.2 Where Existing Workflows Lose Time

Requests frequently lack enough structure. A client may receive a checklist without a clear entity, period, account, or purpose. The resulting upload looks complete from the client's perspective, but an accountant discovers a mismatch only during review. Folio represents those details as part of the request so they can guide both the client and the review.

The evidence and conversation also tend to fragment. Files sit in shared folders, explanations in email or chat, and status in a separate task system. Handoffs require a colleague to rebuild the history. A manager cannot easily tell whether a request is awaiting the client, awaiting review, or missing a particular supporting record. A shared request history gives each participant the same current state and the reason behind it.



The change is a shared request state and a specific next action after review.

Figure 1: The evidence workflow from a specific request to accountant confirmation.

An apparent monetary mismatch can have an ordinary business explanation. A payment platform may deduct a fee before transferring proceeds; a loan debit combines principal and interest; a project payment may exclude retention; foreign-currency settlement depends on exchange rates and dates. A useful system should investigate the mechanism and relevant records before generating another client request. Finally, follow-up is often iterative: a second submission may fix the period but still lack a supporting statement. The review must preserve what was resolved and what remains open.

2.3 Effect on Accounting Firms

Time spent on repetitive follow-up and historical file searches limits the number of clients a team can serve without adding staff. Late or unsuitable submissions compress the time available for the accounting work that follows. A vague return message can lead to another unusable submission, adding effort for the client as well as the firm. Without consistent task states, firm managers struggle to spot recurring client problems or improve the requests their staff send.

2.4 Why the Workflow Is Now Feasible

Multimodal models can read varied layouts in PDFs and images, while language models can compare their contents with a structured request and a client profile. A controlled Agent can search authorized records and call validation tools before proposing the next action. This creates a practical path from reading a file to checking the evidence and continuing the workflow. Cloud practice tools and client portals are already familiar to many firms, which allows Folio to enter as an evidence preparation layer and integrate with existing systems over time.

3 Existing Solutions and Folio's Position

3.1 Current Tool Categories

Email, chat, and shared drives are flexible ways to exchange files, but they do not maintain a structured request and its review history. Client portals improve submission, practice management systems organize clients and work, and OCR services extract text or fields. Each solves a valuable portion of the task. The

remaining work is to connect a submitted file to the request, client background, earlier evidence, and financial relationships, then decide whether bookkeeping can proceed or a specific item is needed.

3.2 Entry Point

Folio enters at that evidence preparation step. A firm can start with a few clients and a limited set of document requests. The product checks routine attributes, searches existing evidence, supports follow-up, and leaves the firm's final responsibility intact. This scope permits a trial to measure changes in follow-up, preparation time, and manual review before any broad migration or integration is required.

3.3 Market Position

Folio combines a shared firm-and-client workflow with accounting-specific evidence review and stateful follow-up. The position is specific: helping accounting firms turn client submissions into evidence they can review and use. Its advantage must be demonstrated through product behavior, scenario coverage, and measured customer outcomes, rather than through a general claim about AI.

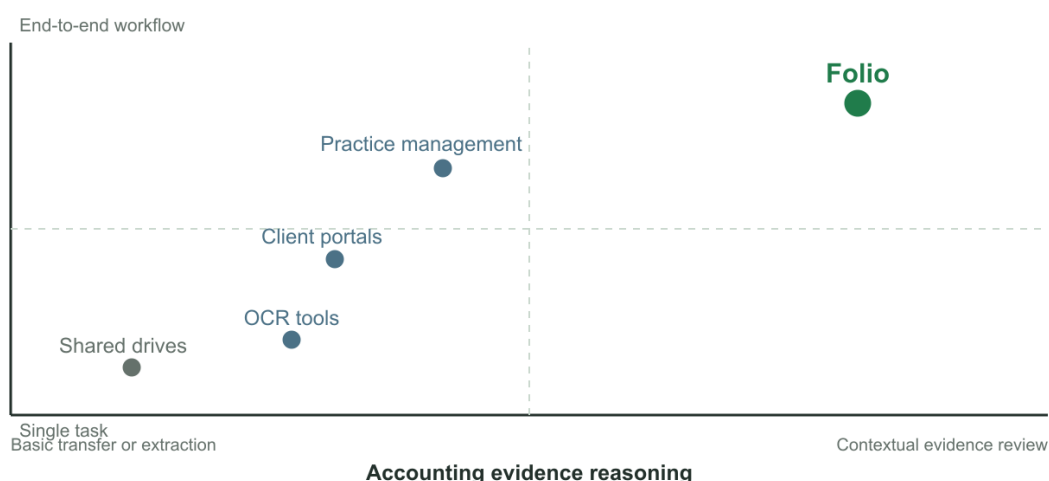


Figure 2: Conceptual product positioning by workflow scope and accounting reasoning; illustrative, not a measured benchmark.

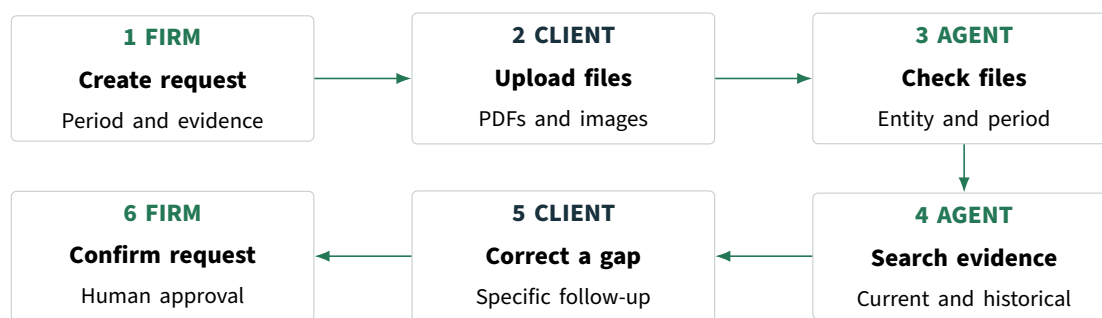
4 Product and Core Advantages

4.1 Product Overview

Folio gives the accounting firm and the business client two views of one request. On the firm side, accountants create requirements, set a period and deadline, monitor submissions, inspect exceptions, and approve completion. On the client side, a business sees the outstanding evidence, uploads PDFs or images, receives explanations tied to an item, and submits corrections without losing the original context. A shared status connects the two experiences. The Agent works within that same request, so its findings can lead to a specific client action or an accountant review rather than ending as a detached chat answer.

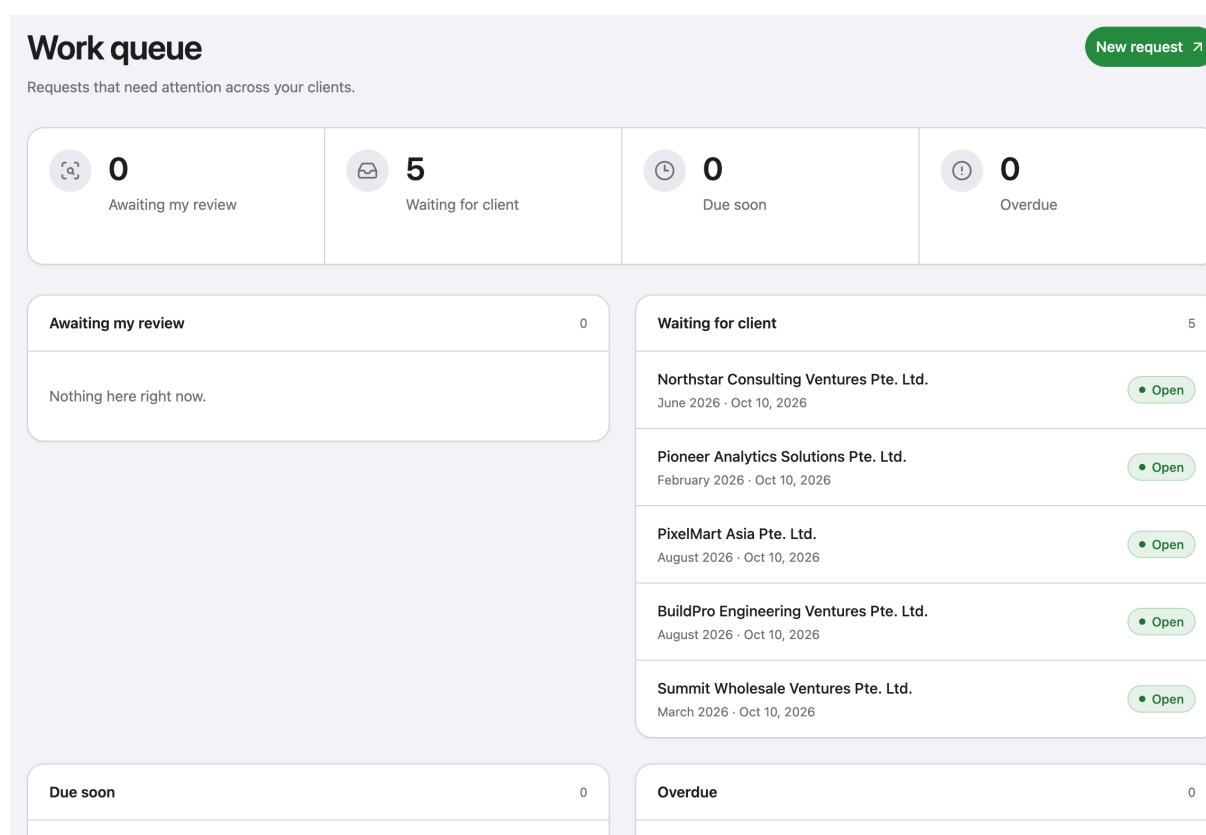
The Agent reads a document, identifies its type and key details, compares them with the requirement, and checks whether related files explain an apparent problem. If the current set is insufficient, it can search authorized historical records and formulate a targeted follow-up. When the client responds, Folio evaluates the new file against the outstanding issue. The firm can inspect both the supporting evidence and the

sequence of decisions before approving the overall request.



One request history preserves files, findings, messages, and decisions across rounds.

Figure 3: Folio connects firm requests, Agent review, client correction, and professional confirmation.



Product screen. Firm work queue showing requests awaiting review and clients awaiting submission.

4.2 Core Product Advantages

4.2.1 One Workflow for the Firm and Its Clients

The product covers both sides of the exchange. An accountant's requirement becomes a client task with the relevant period and description; a submitted file enters the corresponding review record; a correction remains linked to the original issue. The firm's work queue shows which clients and items need attention, while the client workspace shows what has been accepted and what still requires action. This shared context reduces the need to reconcile separate checklists and message threads.

4.2.2 An Agent That Can Continue the Task

Folio's Agent classifies files, extracts relevant details, checks entity and period, examines financial relationships, searches authorized evidence, and proposes a next action. It can continue after a second or third submission because the unresolved items and earlier findings remain attached to the request. Tool use is controlled by the business backend: the model proposes a search, the backend applies permissions and returns results, and deterministic checks verify critical amounts and states. This allows the Agent's reasoning to support an operational task with an inspectable record.

4.2.3 Twelve Accounting Scenario Families

The scenario framework spans three levels. Document validity covers missing files, wrong periods, and wrong entities. Evidence relationships cover multiple invoices against one payment, one invoice paid in instalments, cross-period payments, and credit notes. Business mechanisms cover platform settlements and fees, employee expenses, loan repayments, foreign-currency transactions, and construction progress billing with retention. The product combines these patterns with client context and request history, because a real submission may involve several at once.

4.2.4 Multimodal and Multilingual Evidence

Folio accepts common PDFs, scans, and images. Its current interface supports English and Simplified Chinese. Its purpose-built dataset and evaluation categories include English, Chinese, Malay, and mixed-language documents, reflecting the records businesses may handle in Singapore and the wider region. The system needs more than transcription: it uses layout, tables, names, dates, amounts, currencies, counterparties, and document references as inputs to later checks.

4.2.5 Search Existing Evidence Before Asking Again

An issue should not automatically create another client message. A current bank payment may correspond to an invoice from the previous period; a net platform deposit may be explained by the settlement statement already uploaded. Folio searches the current and historical evidence within the client's authorized scope, assesses the relevant records, and asks for a missing item only when the available evidence does not resolve the requirement. That can save a follow-up round while giving the client a more precise instruction when a document really is needed.

4.2.6 Stateful Review With Accountant Control

Document preparation commonly takes several rounds. Folio retains each submission, review, evidence search, follow-up, and human decision. It updates the outstanding items when new documents arrive rather than treating every upload as a fresh case. The system may resolve a bounded individual requirement automatically, but the accountant controls exceptional judgments and confirms the overall request. The resulting history helps another team member understand why a file was returned and what changed in the next round.

4.3 Product Functions

4.3.1 Client Profiles and Evidence Requests

Firm staff create client records and period-specific requirements with a document type, due date, owner, and status. A client profile can record relevant mechanisms such as payment platforms, staff reimbursements, loans, multiple currencies, and project-based billing. The request gives the client a concrete task and gives

the Agent conditions against which to review a submission.

The screenshot displays the Folio interface for a client profile. On the left is a sidebar with navigation options: Organisation (Local Accounting), Workspace, Collections, and Clients (selected). Below the sidebar is a notification bell and a user profile for 'Test Accountant' (acc@test.com). The main content area shows the client profile for 'Atlas Projects Asia Pte. Ltd.' with a status of 'Active'. A 'Back to clients' link is at the top left. Below the client name is the client code 'C046' and currency 'SGD'. There are two tabs: 'Overview' (selected) and 'Contacts & invitations'. A note states: 'You can view this client. An administrator manages their details and assignments.' The 'Basic information' section includes fields for Industry (Project / Engineering), Legal name (Atlas Projects Asia Pte. Ltd.), Client code (C046), and Base currency (SGD). The 'Business features' section lists several options: Payment platforms (checked), Employee reimbursements (unchecked), Loans (checked), Multiple currencies (unchecked), Project-based accounting (checked), and Retention payments (checked). The 'Bank accounts' section shows two active accounts: DBS (ending in 1782) and UOB (ending in 1795), both in SGD.

Product screen. Client profile with business features that inform review of platform, loan, and project evidence.

4.3.2 Client Submission Workspace

The client sees the current requirements in a separate workspace, uploads multiple PDFs or images, and reviews files before submission. Feedback is tied to the affected requirement and explains the next action. Later uploads stay in the same request history, allowing the client to see progress without reconstructing the earlier conversation.

4.3.3 Document Classification and Extraction

Folio recognizes invoices, bank statements, settlement reports, credit notes, and other supporting records. It extracts the entity, period, amount, currency, counterparty, and reference identifiers needed for review. The accountant can inspect the original file alongside the structured result, and the extracted details feed the subsequent evidence checks.

4.3.4 Accounting Evidence Review

The product checks whether a file meets the type, entity, and period specified by the requirement. It also tests relationships among files. For example, a group of invoices may need to explain one payment, and a platform's reported gross sales may need a fee statement to reconcile with the bank deposit. The review uses the client profile and related evidence rather than comparing isolated fields alone.

4.3.5 Search of Current and Historical Records

When the current upload does not settle a question, the Agent can request a scoped search of the same client's records, including earlier periods. The backend enforces access permissions and returns candidate evidence. Folio retains the purpose and result of the search so the accountant can see why a historical file affected the conclusion.

4.3.6 Specific Requests for Missing Evidence

If a required record is genuinely absent, Folio identifies the period, document type, supplier, invoice reference, amount, or other locator that will help the client find it. The message remains linked to the underlying requirement and review finding. This makes a return actionable and gives the firm a clear basis for checking the next submission.

4.3.7 Review Across Multiple Rounds

On resubmission, Folio reads the new files together with unresolved findings and updates the relevant item statuses. It does not reopen requirements that have already been satisfied without a reason. This continuity accommodates the two- and three-round exchanges that are common in client accounting work.

4.3.8 Accountant Review and Audit History

Accountants can inspect uploaded files, the Agent's findings, evidence used, proposed actions, and prior rounds. They decide matters requiring professional judgment and approve completion. The system records request creation, submissions, automated actions, manual changes, and final confirmation to support handoffs, quality review, and later investigation.

4.4 Twelve Accounting Scenario Families

The twelve families form a practical reasoning framework. Folio first establishes whether a submitted document is valid for the request, then determines how financial records relate to one another, and finally considers differences caused by the client's business model. Each family has a question to resolve, evidence to inspect, an Agent action, and a point where an accountant may need to decide.

Scenario	Reasoning task	Useful result
Missing evidence	Determine whether a required record is absent or can be supported by an alternative already held.	Specific missing-item request
Wrong period	Compare dates, transaction period, settlement cycle, and requested accounting period.	Correct-period evidence
Wrong entity	Check names, accounts, counterparties, and related companies.	Correct legal entity
Many invoices one payment	Aggregate invoice amounts and match the transfer to the counterparty.	Payment coverage explained
One invoice many payments	Track paid and outstanding amounts across dates.	Balance and instalments clear
Cross-period payment	Find an earlier invoice supporting a current bank transaction.	Avoid repeated client request
Credit note adjustment	Connect invoice, credit note, and final settlement.	Net amount explained
Platform settlement	Reconcile gross sales, fees, and net bank proceeds.	Normal difference supported
Employee reimbursement	Link claim, receipt, employee payment, and company reimbursement.	Missing expense support identified
Loan repayment	Separate principal and interest from the bank debit.	Repayment evidence aligned
Foreign currency	Check currencies, rates, amounts, and settlement dates.	Exchange difference explained
Progress billing and retention	Compare contract, certificate, invoice, receipt, and retained amount.	Project payment relationship clear

Scenario reference. Twelve accounting patterns, from document validity to financial relationships and business mechanisms.

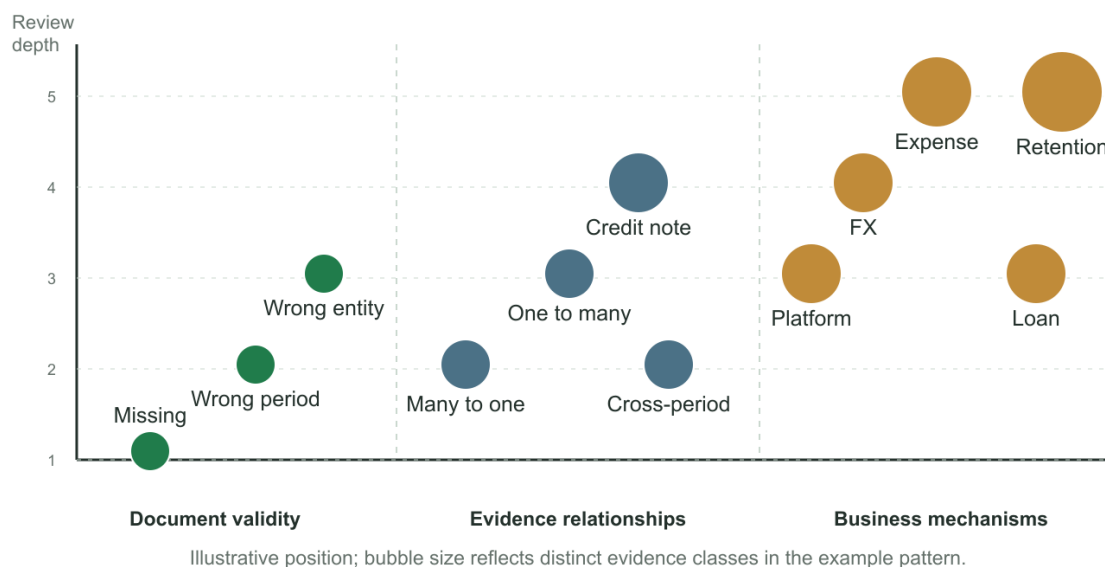


Figure 4: Qualitative scenario map showing evidence variety and review depth; positions are illustrative rather than measured results.

4.4.1 Document Validity

For missing evidence, the system distinguishes an actual gap from an alternative supporting record already on file. For a wrong period, it compares invoice dates, transaction periods, settlement cycles, and the accounting period instead of accepting a correct-looking document from another month. For a wrong entity, it checks names, bank accounts, counterparties, and related companies so that records from different legal entities are not mixed.

4.4.2 Relationships Among Financial Records

For several invoices paid in one transfer, Folio totals the invoices and checks the counterparty and payment coverage. For an invoice paid in instalments, it tracks paid and outstanding amounts across dates. A payment made this month for an earlier invoice calls for historical evidence search, while a credit note requires the original invoice, adjustment, and final payment to be read together. These cases show why file classification alone cannot establish whether a request is complete.

4.4.3 Business Mechanisms

A platform settlement separates gross sales, platform fees, and the net bank deposit. An employee claim links the claim form, receipts, employee payment, and reimbursement. A loan debit requires principal and interest to be distinguished; foreign-currency evidence adds transaction currency, functional currency, rates, and settlement dates. Progress billing and retention require the contract, progress certificate, invoice, cash received, and retained amount. These mechanisms turn document recognition into a more useful review of accounting evidence.

4.5 Combining Scenarios

A single request may contain several of the twelve patterns. A bank payment in the current month might relate to last month's invoice and cover only part of its balance. A platform settlement can have both a period error and a legitimate fee difference. A foreign-currency transfer may settle multiple invoices and produce an exchange difference. Folio uses the client profile, current request, present and historical

documents, and unresolved findings to select the next check. It does not simply run twelve independent rules in a fixed order.

This combination approach also supports expansion. An industry-specific document can often be understood through existing relationships plus a new evidence requirement, rather than through an entirely separate workflow. Trials will show which combinations recur, where the Agent fails, and which additions are most valuable to users.

4.6 Example One Platform Settlement and Fees

Platform collections create a common apparent discrepancy: gross sales in the sales report exceed the amount credited to the bank because the platform deducts fees before settlement. Folio links the sales report, settlement statement, and bank transaction to test whether those records describe the same period and entity. The Agent identifies the document types and relevant fields, while the backend checks the arithmetic with deterministic decimal calculations. The accompanying figure shows the evidence relationship and amounts in one representative example.

When the relationship holds, the system records how the difference is supported rather than sending a generic mismatch message. If the settlement statement is absent, it can request the statement for the relevant platform and period. The example illustrates the product's intended behavior: explain a legitimate difference where the evidence permits, and request a specific record where it does not.

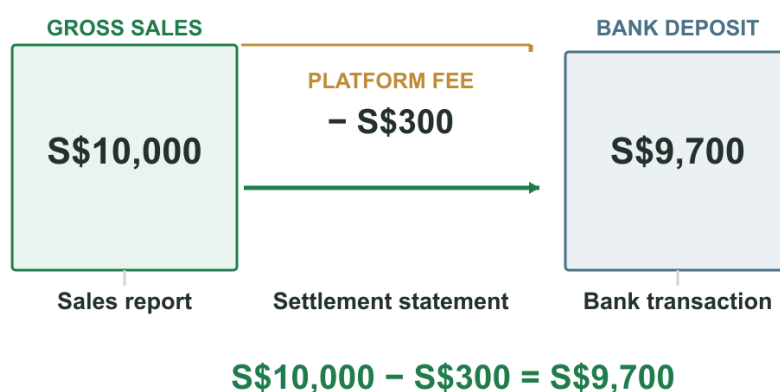


Figure 5: Representative platform settlement: the fee explains the difference between gross sales and bank proceeds.

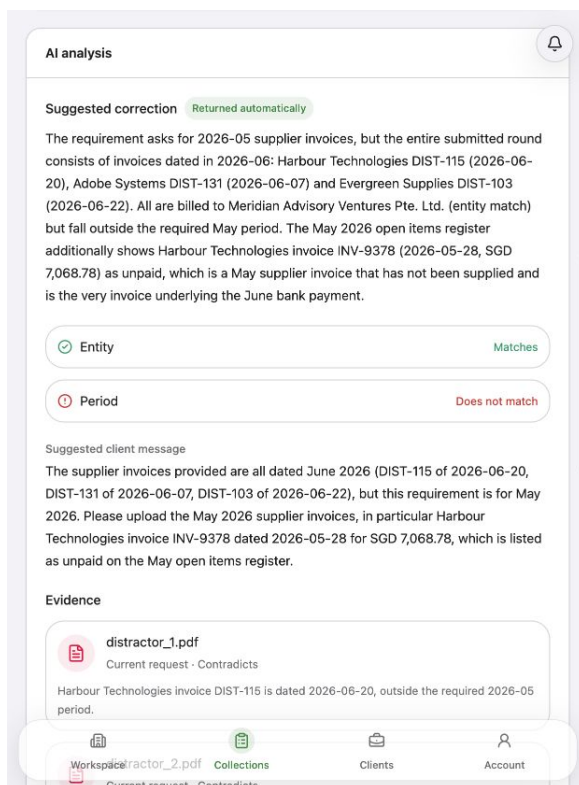
4.7 Example Two Wrong Period and Historical Search

In the product's C004 Meridian Advisory Ventures test case, the requirement called for May 2026 supplier invoices. The client's first submission contained three June invoices. Folio found that the entity matched but the period did not. It then examined May open items and located a Harbour Technologies invoice, INV-9378, dated 28 May 2026 for SGD 7,068.78.

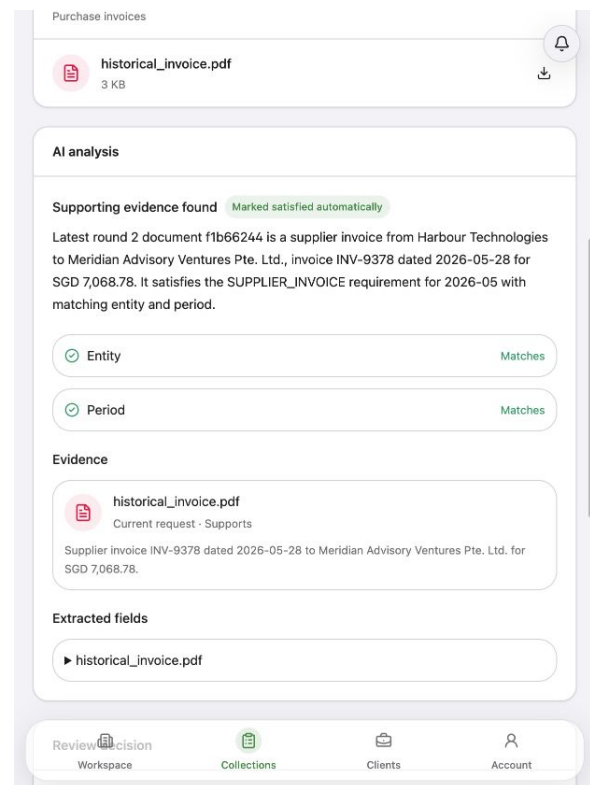
The follow-up identified the supplier, invoice number, date, and amount. The client supplied the correct invoice in a second round. Folio checked the new file against the request, marked the individual requirement satisfied, and preserved accountant control over final approval of the overall request. The case connects document understanding, a scoped historical search, a precise client instruction, and continuity between rounds. The accompanying product screens show the actual request history and review states.



Figure 6: A period mismatch becomes a specific follow-up, corrected submission, and accountant confirmation.



Round one identifies the wrong period and names the missing invoice.



Round two verifies the corrected invoice and closes the individual requirement.

Product screens. Two review rounds in the same request.

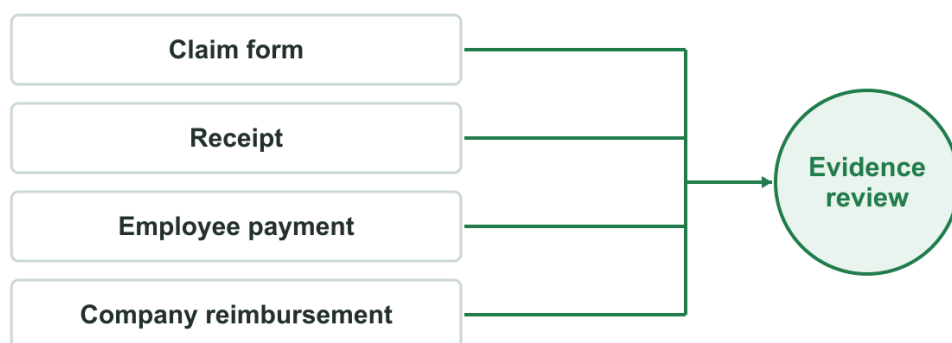
The screenshot displays the Folio interface for a collection named 'Meridian Advisory Ventures Pte. Ltd.' under the 'Local Accounting' organisation. The interface includes a sidebar with navigation options: Organisation, Local Accounting, Workspace, Collections (selected), and Clients. The main content area shows the collection details, including a due date of 'Oct 10, 2026' and an assignee 'Test Admin'. It lists three requirements, all marked as 'Satisfied': 'Supplier invoices — 2026-05', 'Open items register — 2026-05', and 'Bank statements — 2026-06 (DBS)'. An activity log on the right shows the request's history, from creation to confirmation, with the current status 'Confirmed'.

Product screen. The three requirements are satisfied and the accountant has confirmed the overall request.

4.8 Example Three Employee Reimbursement

An employee expense may involve a claim form, original receipt, employee payment, and reimbursement by the company. A bank transfer alone does not explain the expense; a receipt alone does not establish whether the company has repaid the employee. Folio can match employee, merchant, date, and amount across these files and the client's reimbursement profile.

If the claim and bank transfer exist but one receipt is missing, Folio can name the particular expense that needs support and continue checking after the client responds. The accountant still decides whether the cost meets company policy and how it should be treated. The product reduces the effort of locating and matching the evidence that supports that decision.



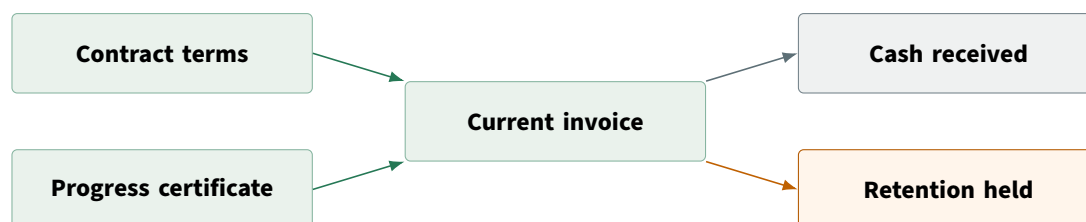
If a receipt is absent, request that specific expense record.

Accountant decides policy and accounting treatment.

Figure 7: Representative reimbursement evidence relationship; the review identifies a missing expense record while policy remains with the accountant.

4.9 Example Four Progress Billing and Retention

In project work, a contract value, progress certificate, current invoice, bank receipt, and retained amount may legitimately differ. Folio can use a client's project-billing profile and the contract terms to test whether an invoice-to-cash gap is explained by retention. The Agent assembles candidate records and an explanation, the backend verifies key arithmetic, and the accountant decides contractual and recognition questions. This makes a complex case more manageable without assigning the final accounting conclusion to the model.



Invoice amount is reconciled to cash received plus contractual retention.

Figure 8: Representative progress billing relationship across contract, certificate, invoice, cash, and retention.

4.10 Value to Users

The value arises from the functions working together. Early validity checks identify wrong periods and entities before they delay the close. Search can prevent an unnecessary client follow-up. A persistent request history makes the next round easier to assess. A consistent review path helps firms deliver a similar standard across accountants and clients.

Staff gain time previously spent reopening files, searching old folders, and writing vague messages. Clients receive a clearer request and a concrete path to completion. Managers gain visibility into waiting time, recurring issues, and review load, with a potential route to serving more clients without proportionate headcount growth. The size of these benefits remains a matter for measured trials, not an assumed product result.

5 Target Market and Customer Strategy

5.1 Market Segments

The first market is accounting, bookkeeping, and outsourced finance firms. They serve multiple companies, repeat similar requests every period, and can gain value across many client accounts in one workspace. A second market comprises in-house finance teams and shared service centres collecting evidence from subsidiaries, stores, departments, and employees. Audit preparation and other professional evidence workflows are later possibilities because they also require repeated requests, review, and correction, though their standards and responsibilities need separate validation.

5.2 Initial Customer Profile

Folio's initial target is a small or mid-sized Singapore accounting or outsourced bookkeeping firm with roughly ten to one hundred active business clients. The most relevant firms still rely heavily on email and shared folders to chase records and want a more consistent process. Their requests are frequent enough to observe a product effect during a trial, and a partner or manager can often participate directly in the

adoption decision.

This segment also provides dense product feedback. One firm may expose Folio to several industries, languages, file formats, and payment arrangements. Repeated use can show which scenarios are common, which require accountant intervention, and where a feature creates value. If the product earns continued use, the subscription can grow with the firm's active client base.

5.3 Buyer Users and Beneficiaries

A partner or firm owner is likely to approve a purchase and will assess capacity, quality, client experience, security, and return on spend. Accountants use the product frequently and need a review that saves effort without hiding evidence or making exceptions difficult. The business client supplies the records and benefits from clearer instructions; the quality of that experience affects whether the firm will keep using Folio. Trials should therefore collect feedback and behaviour from all three groups, rather than relying on a manager's purchase intent alone.

5.4 Positioning and Expansion Order

The first positioning is an AI-assisted evidence preparation platform for accounting firms. Folio's firm-and-client workflow and Agent review complement existing task, bookkeeping, and storage systems. Once the accounting-firm use case is validated, a similar request and review pattern could serve internal finance teams. Expansion into audit and other evidence-intensive work requires specific permission models, evidence standards, and professional responsibility rules before it can be treated as part of the same product promise.

6 Business Model and Go to Market

6.1 Subscription Model

Folio proposes a subscription with active business clients as the main basis for tiers. That measure relates to request volume, document volume, Agent usage, and the value a firm receives as its client portfolio grows. It also fits the way a practice expands better than charging only for internal seats.

The indicative monthly tiers are S\$99, S\$299, S\$699, and a custom enterprise plan. Differences may include active-client allowances, team collaboration, automated review, evidence search, analytics, integration, and service support. These are proposed prices, not tested willingness-to-pay results. Quotas, excess usage, annual discounts, and enterprise terms should be set after pilots establish actual document volumes, model costs, and customer preferences.

Plan	Indicative monthly price	Commercial role
Starter	S\$99	Entry tier for a smaller active-client base
Growth	S\$299	More clients and team collaboration
Scale	S\$699	Broader review and management use
Enterprise	Custom	Integration and support based on requirements

Figure 9: Proposed prices for pilot validation; plan limits and terms have not yet been fixed.

6.2 Product in the Marketing Mix

Product is the complete evidence preparation experience across the firm, client, and Agent. The firm establishes a request and supervises a portfolio of client work; the client receives a clear list of evidence and handles corrections in the same place; the Agent reads submitted material, checks it against the request, searches related records, and proposes a next action. The shared request history is the product's central unit of work. It connects the original requirement, files, review findings, messages, later rounds, and accountant approval.

The product's functions cover a sequence of user needs rather than a collection of isolated AI features. Structured requests reduce ambiguity at the start. Multimodal understanding and validity checks expose a wrong file before the accountant spends time on it. Evidence search and accounting relationship checks help explain legitimate differences and narrow actual gaps. Targeted follow-up gives the client a concrete next step. Persistent status and audit history let the firm supervise the whole process. The twelve scenario families show the breadth of the review logic; the real product case shows how several functions work together on one request.

Product function	What the user experiences	Value to the firm
Structured requests	Clients see entity, period, document, and deadline	Fewer ambiguous submissions
Multimodal understanding	PDFs, scans, and images enter one review	Less manual sorting and extraction
Evidence review	Files checked against requirements and related records	Issues found before bookkeeping
Historical search	Prior records considered before a new request	Fewer unnecessary follow-ups
Specific follow-up	Client receives a document-level correction	Faster path to a usable submission
Multi-round state	Open issues carry into the next submission	Less repeated review
Accountant control	Exceptions and overall approval remain with staff	Reviewable professional decisions

Figure 10: Product coverage connects each function to a user action and an operational benefit.

6.3 Price Place and Promotion

Price will be tested against value at the firm level and the cost of serving each active client. The proposed tiers provide an initial structure, while pilot data should determine limits and the margin available after model, storage, and support costs. Place is initially direct adoption by Singapore accounting firms through a web product, with later integration through APIs and software partners when the workflow is proven. Promotion should use product demonstrations, verified customer cases, professional communities, accounting associations, and relevant software partners. A working request history and measurable pilot result will carry more weight than a general AI claim.

6.4 Pilot Measures

Each pilot should record a baseline before Folio is introduced. Request-level measures include follow-up rounds, elapsed time from request to usable evidence, first-submission usability, accountant review time,

automated item resolution, human overrides, erroneous returns, and client completion by the due date. These figures should be broken down by document type and scenario so an average does not hide a problematic workflow.

Adoption and economics are equally important. The firm should continue using the queue; clients should complete corrections inside the workspace; managers should decide whether to add accounts. Trial conversion, expansion, renewal intent, and model and storage cost per active client will inform the subscription design. The pilot is successful only if the workflow becomes useful in ordinary practice, not merely if an individual AI example works.

6.5 Entry and Implementation

The early go-to-market route is through a small group of design partners with a real document-collection problem and willingness to share feedback. A pilot can begin with a limited number of clients, one reporting period, and a few high-frequency requirements. The firm and Folio team agree on the baseline, exception handoff, and review cadence, then compare the workflow before and after use. Results that the firm can verify become the basis for future case studies and sales material.

Implementation covers client setup, recurring requirements, roles and permissions, the accountant queue, the client upload experience, and the route for human intervention. A firm may keep an emergency communication channel during early use, while treating the Folio request as the source of status for the pilot. Expansion to more clients, scenarios, and integrations should follow demonstrated improvements in preparation time, completion, and review effort.

7 Competitive Advantage and Defensibility

7.1 Competitive Environment

Folio competes with several categories rather than one product. Shared drives, portals, OCR services, practice management software, and general-purpose AI each address part of the workflow. Larger platforms may add intelligent review over time, so connecting to a model is not a durable advantage by itself. Folio's strategy is to develop the accounting evidence preparation layer deeply: scenario logic, firm-and-client interaction, controlled tools, specific data, and accountant oversight. It can be used as a focused product and later connected to a firm's other systems through APIs.

7.2 Accounting Knowledge Layer

The twelve scenario families, client profiles, evidence relationships, search priorities, and human decision boundaries form a reusable accounting knowledge layer. As real usage grows, the team can identify recurring combinations, additional document types, and failure patterns. The important result is a better product response to a concrete accounting question, not a longer list of theoretical use cases.

7.3 Purpose-Built Data

The team has assembled 2,000 accounting Agent cases across 100 synthetic companies. The cases cover twelve parent scenarios, English, Chinese, Malay, and mixed-language documents, PDFs and images, tasks resolved with existing evidence, and tasks requiring state or further client input. They support evaluation of document understanding, tool choice, evidence search, follow-up quality, and respect for the accountant's final control.

The dataset’s usefulness depends on design as well as size. Company-level separation among training, validation, and held-out test sets reduces leakage of the same client’s information across splits. Evaluation should show results by scenario, language, file form, and interaction round, because a single aggregate score would obscure where the Agent needs improvement.

7.4 Specialist Model and Adaptable AI Layer

The team trained Folio-Reasoner-8B from a Qwen3 8B backbone. It first used 128 screened demonstrations for supervised fine-tuning, then applied outcome-driven reinforcement learning over 88 policy updates. In the team’s records, validation accuracy increased from 24.6% after fine-tuning to 66.4% at the end of that training stage. On FolioBench-120, the specialist reached 65.8% (79/120), compared with 56.7% (68/120) for the larger model that generated the demonstrations. It led in 11 of the 12 scenario comparisons and tied the remaining one. These are results on a fixed synthetic suite; they do not establish performance in an accounting firm’s live workflow.

Folio’s advantage does not depend on locking the product to one inference vendor. The Agent presents a controlled classification and review contract; compatible model services can be connected through an adapter while the backend retains search authority, evidence checks, state changes, and the accountant’s final approval. Folio-Reasoner-8B is the selected accounting specialist for this architecture. Each alternative model still needs to meet the same schema, evidence, and quality requirements before use.

7.5 Workflow and Trust

Reproducing the product requires more than document recognition. The firm and client interfaces, requests, client profiles, historical records, multi-round states, deterministic checks, permissions, and audit events must operate on the same business model. Usage can then improve both product decisions and tests. The Agent receives only records authorized by the backend; it has no direct PostgreSQL, Redis, JWT, or business-state write access. The backend owns state changes, and an accountant confirms the overall request. These boundaries help a firm adopt assistance without losing accountability.

7.6 SWOT and Risk Response

Folio’s strengths are the two-sided workflow, accounting scenario framework, purpose-built data, trained specialist model, stateful Agent, and human control. Its present limitations are an early brand, limited paid-customer evidence, and commercial and scale metrics that still need testing. Opportunities include repeated document requests in accounting practices, improving multimodal capabilities, and multilingual business records in Southeast Asia. Threats include established platforms adding similar functions, data-security expectations, and variable model quality and cost.

The response to each risk belongs in the product plan. Deterministic checks and accountant approval address model errors; controlled pilots and straightforward setup address adoption; least privilege, isolated file processing, malware scanning, and audit events address data handling. Integration and accounting-specific case depth help Folio coexist with larger software platforms. Model use, caching, and cost monitoring should be measured before pricing and scale assumptions are fixed.

Strengths	Weaknesses
Firm and client workflow; accounting scenarios; multi-round Agent; human control	Early brand and paid-customer history; quality, economics, and scale still need trials

Opportunities	Threats
Recurring firm requests; better multimodal tools; multilingual business records	Platform entrants; security demands; model quality and cost variability

Figure 11: SWOT summary; the section text explains the corresponding responses.

8 Technical System and Engineering

8.1 System Architecture

Folio separates the web experience, business backend, and background processing. Vue 3, TypeScript, and Vite support the firm and client interfaces. A FastAPI backend manages identity, authorization, clients, evidence requests, files, review state, and audit history. PostgreSQL holds core business records and the leases for asynchronous work. Redis holds revocable session and rate-limit state. Backend Workers scan uploads, claim classification and review runs, call the Agent, and apply validated results; the Agent reads files and performs OCR and model analysis.

Model services connect through defined APIs. Folio-Reasoner-8B is the selected reasoning model, while OCR and file classification may be served separately. The backend supplies permission-filtered task context to the Agent and receives structured findings or tool requests. It decides whether a search is allowed, how a request status changes, and when an accountant must review. A compatible provider adapter permits another reasoning model without changing the core accounting record or authority model.

Layer	Technology	Responsibility
User experience	Vue 3, TypeScript, Vite	Firm and client workspaces
Business backend	FastAPI	Identity, permissions, requests, states, audit
Background tasks	Backend Worker, PostgreSQL leases	File scanning, run orchestration, validated results
Session controls	Redis	Refresh-session revocation and rate limiting
Intelligence	OCR service and Folio-Reasoner-8B	Document interpretation and evidence proposals
Records	PostgreSQL	Core business data and review history
Delivery	Docker, Nginx, GitHub Actions, AWS Lightsail, Cloudflare	Image build, controlled deployment, and edge services

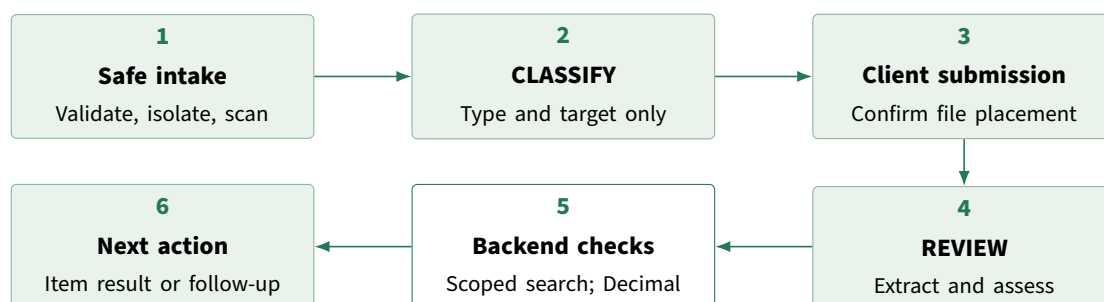
Figure 12: System layers and ownership. The business backend controls permissions and state changes.

8.2 Intelligent Review Pipeline

After a PDF or image arrives, Folio validates and scans the file. An OCR service reads its content and layout, and classification suggests a category, document type, and target requirement. The client confirms the file placement and formally submits the evidence before the full review begins. In that review, Folio-Reasoner-8B is the selected accounting reasoning model: it receives controlled document content

and authorized request context, extracts relevant details, checks the requirement, and may propose an evidence search. Search rounds are bounded and logged, preventing an open-ended loop. Another model can fill this role only through a compatible adapter and the same validated output contract.

The two stages have distinct responsibilities. CLASSIFY runs after upload and safety scanning; it suggests only the category, document type, target requirement, and confidence, without judging entity, period, or amounts. REVIEW runs after client submission; it extracts fields and assesses the entity, period, monetary relationships, and supporting evidence. The backend performs authorized searches, recalculates important monetary relationships using deterministic decimal arithmetic, and applies permitted item-level decisions. An accountant confirms the overall request.



The backend controls searches and business state; the accountant confirms the overall request.

Figure 13: Controlled processing path from a client upload to an accountable action.

8.3 Deployment and Operations

GitHub Actions tests, builds, and pushes versioned container images; a controlled server step deploys them with Docker Compose and Nginx. The running deployment uses AWS Lightsail in Singapore, with Cloudflare for domain and edge services. Frontend, backend, Worker, and Agent components communicate through interfaces that allow separate updates. In-app notifications are implemented; email and Feishu delivery are not yet enabled. Central monitoring, recovery exercises, external notification delivery, and larger-scale performance validation remain future priorities tied to customer volume and the sensitivity of the firms served.

9 Data Evaluation and Security

9.1 Accounting Evaluation Dataset

The 2,000 cases cover 100 synthetic companies. Language categories comprise 600 English, 600 Chinese, 600 Malay, and 200 mixed-language cases. The 12,531 accompanying files consist of 8,414 PDFs and 4,117 images. Cases are split into 1,400 for training, 300 for validation, and 300 held out for testing, with company-level separation. The dataset includes basic single-issue tasks, combinations of financial relationships, and multiple-error situations. Of the 2,000 cases, 600 can be resolved from existing evidence and 1,400 require stateful or multi-round handling.

This structure allows the team to assess more than extraction. Tests can ask whether the Agent found the right document, selected a useful tool, interpreted a financial relationship, requested only what was missing, and maintained the correct state across rounds. FolioBench-120 draws ten cases from each scenario family in the held-out test partition; the team's reported 65.8% result measures case-level correctness for Folio-Reasoner-8B in that synthetic task harness. The full 300-case test partition and detailed results by language, file form, and interaction round remain to be reported.

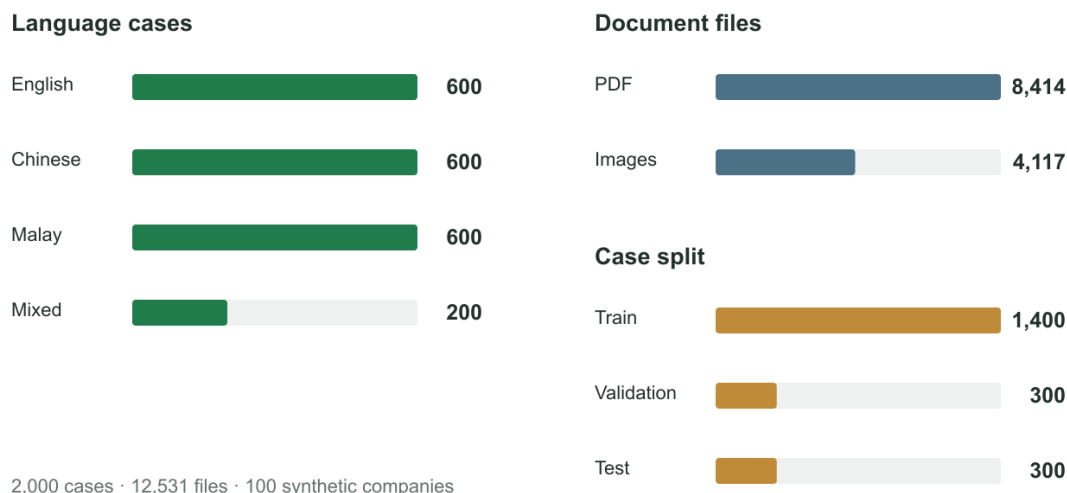


Figure 14: Dataset composition and evaluation split. Counts are from the team dataset record.

9.2 Evaluation Framework

Evaluation follows the product's layers. Document tests cover classification, field extraction, entity, and period. Accounting tests cover arithmetic, evidence selection, and scenario conclusions. Agent tests cover tool calls, search scope, follow-up specificity, and state transitions. The fixed FolioBench-120 comparison provides a first scenario-balanced, synthetic measure of the specialist model. It is separate from integration checks and does not measure the full deployed workflow. Product trials must still measure erroneous returns, accountant overrides, latency, unit cost, and client completion; the remaining held-out cases and accounting-firm pilots are needed before broader quality claims.

9.3 File and Data Controls

Uploads enter an isolated processing area. The system checks MIME type, file headers, and hashes, and uses ClamAV for malware scanning. The backend applies firm, client, and role permissions and records significant events. The Agent sees only authorized data provided for the task, with no direct database, Redis, JWT, or business write permissions. An accountant confirms the overall request even when an individual item has passed automated checks.

The design makes uncertain model output reviewable and correctable. Before the product serves firms with stricter procurement requirements, the team will also need to formalize retention policies, exercise backup and recovery, improve central monitoring, and prepare customer security materials.

Agent can	Backend controls	Accountant decides
Read authorized task context; request scoped search; propose review findings	Permissions, database access, business writes, state changes, and audit events	Exceptions and final confirmation of the overall request

Figure 15: Trust boundary between model assistance, business state, and professional judgment.

10 Product and Market Roadmap

10.1 Stage One Client Evidence Collection

The first stage concentrates on client document collection and bookkeeping preparation for accounting firms. The test is whether real use reduces unnecessary follow-up, shortens preparation, identifies problems earlier, and earns continued accountant use. Completion requires stable adoption, repeatable setup, scenario-level quality measures, and evidence of conversion or renewal.

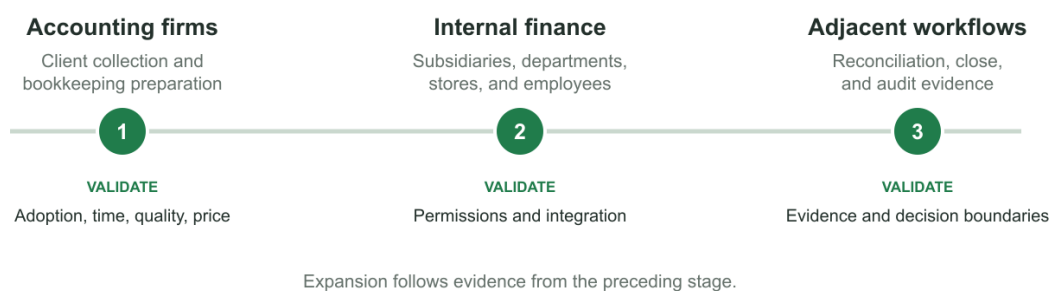


Figure 16: Product and market sequence with a validation condition at each stage.

10.2 Stage Two Internal Finance Collaboration

After the firm workflow is validated, Folio can support requests inside larger companies: headquarters to subsidiaries, a shared service centre to departments, or finance to stores and staff. These relationships share structured requirements and review rounds, but introduce different permissions, integrations, and procurement needs. Those conditions should be tested before this segment is treated as an established market.

10.3 Stage Three Further Pre-Bookkeeping Workflows

The client profile, evidence relationships, and human controls may support bank reconciliation preparation, accounts receivable and payable evidence, month-end close, and audit collaboration. Each addition needs a defined decision boundary, supporting documents, deterministic checks, and accountant responsibility. The roadmap is a sequence of validated workflows rather than a promise to automate every accounting decision.

10.4 Geographic Expansion

Singapore is the first market, with a mature accounting-service sector and common multilingual records. It can provide reference cases for later regional work. Expansion elsewhere should depend on client demand, language needs, regulation, data requirements, and local partners, not a target number of countries.

11 Execution and Milestones

11.1 Design Partner Trials

Initial partners should have a recurring collection problem, a stable process that can be observed, and a willingness to give specific feedback. The partner and Folio team define the client cohort, document types, starting measures, route for human takeover, and review intervals. The trial should establish whether the

product enters everyday work and improves that work, not simply whether an isolated model example succeeds.

11.2 Product and Technical Milestones

Near-term work includes refining the client upload flow, improving coverage and quality across the twelve scenario families, building clearer evaluation and audit views, and strengthening notifications, monitoring, and recovery. Priorities should follow observed customer impact, especially erroneous returns, repeated accountant effort, or a client being unable to finish a request.

11.3 Commercial Milestones

Commercial milestones include completing design partner trials, obtaining verifiable before-and-after cases, testing the proposed tiers, winning initial paying firms, and observing expansion and renewal. Broader sales and channel spending should follow evidence that the product provides dependable value and can be implemented repeatedly.

11.4 Inputs for a Later Investor Edition

A full investor edition would require the team's members, responsibilities, and relevant experience; a market-size model supported by reliable sources; and three-year financial projections, financing needs, and use of funds. These figures should be supplied from actual team and operating assumptions. They are not inferred in this plan.

12 Conclusion

Preparing client accounting records involves collaboration, document understanding, financial relationships, searches across earlier periods, several rounds of correction, and professional responsibility. Folio connects these activities in a working firm-and-client product with a controlled Agent. The existing system, twelve-scenario framework, purpose-built data, and Folio-Reasoner-8B's initial synthetic evaluation make it ready for focused trials. The next question is measurable: whether firms use Folio repeatedly and obtain faster, clearer, and more reliable evidence preparation at a cost they are willing to pay.

A Evidence and Claim Status

A.1 Implemented

Folio has working firm-side and client-side experiences, client and request management, uploads and file safety checks, multi-round submission, intelligent review, historical evidence search, human review, and final accountant confirmation in an accessible deployment. Multimodal recognition and a language model are connected to the workflow.

A.2 Demonstrated

Engineering tests, real model calls, and multi-round examples demonstrate that the major components can work together. The C004 wrong-period case shows an unsuitable first submission, historical evidence search, a targeted follow-up, a corrected second submission, satisfaction of an individual requirement, and retention of accountant confirmation.

A.3 To Be Measured

FolioBench-120 provides a first synthetic, scenario-level result for Folio-Reasoner-8B. Accuracy on the remaining held-out cases, erroneous return rates, human overrides, sustained latency, unit cost, renewal, and performance at greater scale still need measurement in controlled evaluation and live customer trials. Proposed pricing and market sequencing should be adjusted using those results.

B Technical and Product Sources

Technical descriptions use the acc-system-docs repository at commit 1d6c718 on 26 September 2026 as a baseline. Product examples are based on read-only observations of the Folio firm interface, including C004 Meridian Advisory Ventures request B03 1822, and screenshots supplied by the team. Dataset counts, training settings, and FolioBench-120 results come from the team's *Folio Reasoner 8B Technical Brief Refined* and case-building records. The model scores and checkpoints were not independently reproduced for this proposal.

C Pilot Measures

The pilot measures below connect product use to the operating and commercial decisions Folio needs to make after design partner trials. Each firm should establish a baseline for the same request types before comparison. Results should be interpreted by scenario and client cohort as well as in aggregate.

Pilot dimension	Measures	Decision informed
Efficiency	Follow-up rounds, preparation time, review time	Does the workflow lower delivery effort?
Quality	First-submission usability, erroneous returns, human overrides	Can automated handling be trusted?
Adoption	Accountant activity, client completion, multi-round completion	Will firms and clients use it repeatedly?
Commercial	Trial conversion, expansion, renewal intent, unit cost	Can price and delivery scale?

Pilot measures and the decisions they support.